

1.3 Portfolio Attribution

Portfolio Attribution refers to identifying the sources of our gains and losses. Institutional investors conduct portfolio attribution regularly and it is suggested that retail investors should do the same. In a rather simple manner. The process takes around 30 minutes and should be done once in every six months.

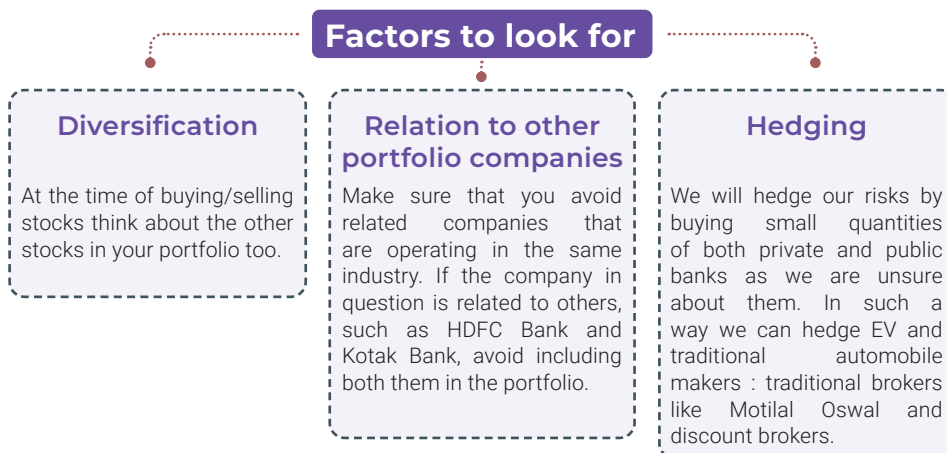
What is the net gain/loss that we have on our position so far? As per the table there was a 14% net gain in Reliance shares. Talking about HDFC, there was a net loss by 8%.

Stock	Net Gain/Loss	% of Portfolio	Gain/Loss in Portfolio
Reliance Ltd	+14%	5%	+0.7%
HDFC Bank Ltd.	-8%	7%	-0.56%
Dr. Reddy's	-20%	8%	-1.6%
BHEL Ltd.	+16%	3%	+0.48%

Therefore, Reliance accounts for +0.7% of the portfolio return and BHEL accounts for +0.48%. Due to net loss, Dr. Reddy and HDFC Bank reduced profits by 1.60 % and 0.56% respectively.

Examine the net gain/loss situation for each company in the portfolio and repeat it for each stock. Thus portfolio attribution gives us a lot of insights about where our profits and losses are coming from. We can do this at Industry level too.

Whenever you are adding a stock - Think Portfolio



Depending on how each stock performs, we will balance our portfolio in future. But its very important to think of the entire portfolio and not one stock.